

Budgets are boring. Instead of mapping the small expenses, have these rules of thumb in your mind. If you are going consistently over these limits, you need a relook at where your money is going. Eating out, going to the movies, travelling and buying gadgets are the big budget breakers. Go for a balanced, rather than a hard, spending diet. Hard diets fail.

You are doing OK if ...

1. you have a three-account system that separates your income, spending and savings;
2. your spending on living costs is no more than 45–50 per cent of your take-home income;
3. your EMI payouts are no more than 25–30 per cent of your take-home income;
4. your savings are at least 15–20 per cent of your take-home income.